shaky, spooked by a mix of global and domestic headwinds. In the US, the Federal Reserve's interest rate pivot made western markets safer and more attractive. The rest of the world was reeling under a volatile mix of conflicts that included the lingering war in Ukraine, fresh flare-ups in Gaza and the Iran-Israel standoff. In the middle of all this, oil prices swung wildly. Closer home, tensions with Pakistan added to the gloom. In January alone, FPIs pulled out a staggering Rs 78,000 crore from Indian stocks, their sharpest monthly withdrawal in years. Though the trend saw a modest reversal in April-May, the overall picture remained grim. The pullback in bonds was as dramatic. Early 2025 saw record FPI outflows of roughly Rs 18,000 crore from the Indian debt market, the biggest single-month exit since the Covid-era turbulence of May 2020. By May this year, cumulative FPI outflows had crossed Rs 97,000 crore.

Despite this, the Indian markets didn't crumble. That's because Indian investors are increasingly filling the vacuum left by FPIs. "India is now a net exporter of capital," says Nilesh Shah, Managing Director of Kotak Mahindra Asset Management. "We've bought more gold than the total foreign portfolio flows into Indian markets this century. Our dependence on FPI flows has reduced significantly, thanks to rising domestic participation." Between FY19 and FY25,

CASE STUDY



DEBAJYOTI CHAKRABORTY

"I TRUST MY OWN ANALYSIS"

KALYAN KUMAR DEY, 52

Hardware shop owner | Bardhaman, West Bengal

Kalyan lives with his wife, two daughters and elderly parents in Bardhaman, a Tier-2 city, over 100 kilometres from Kolkata. A commerce graduate, he began dabbling in stocks shortly after he completed his studies 25 years ago. For a while, the venture went well. But the volatility of the market soon took its toll. With growing responsibilities at home and diminishing returns, Kalyan decided to step away from active trading.

Life moved on. Then came the Covid-19 pandemic. "After the lockdowns, I noticed how bearish the market had become. I realised this was an opportunity," recalls Kalyan. "I approached it with a much more analytical mindset. I read pink papers regularly, went through annual reports, followed company news online and used my judgement based on data. Now, I trust my own analysis."

"I BELIEVE THE INDIAN ECONOMY IS IN A STRONG POSITION.... THAT GIVES ME CONFIDENCE"

By May 2025, the volume of his trade skyrocketed to Rs 2 crore and he has generally been making profits. "I believe the Indian economy is in a strong position. We've overtaken Japan in GDP. That gives me confidence."

—Arkamoy Datta Majumdar